

Executive Overview

Bankruptcy Analytics Dashboard

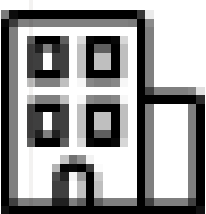
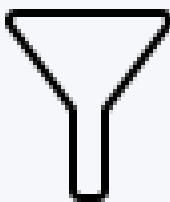
risk scoring

All

years

1999

2018



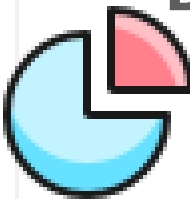
Total Companies

8.97K



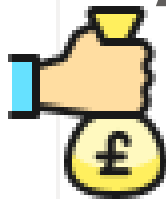
Bankrupt Companies

5K



Bankruptcy rate

57.27%



Avg liquidity

2.99

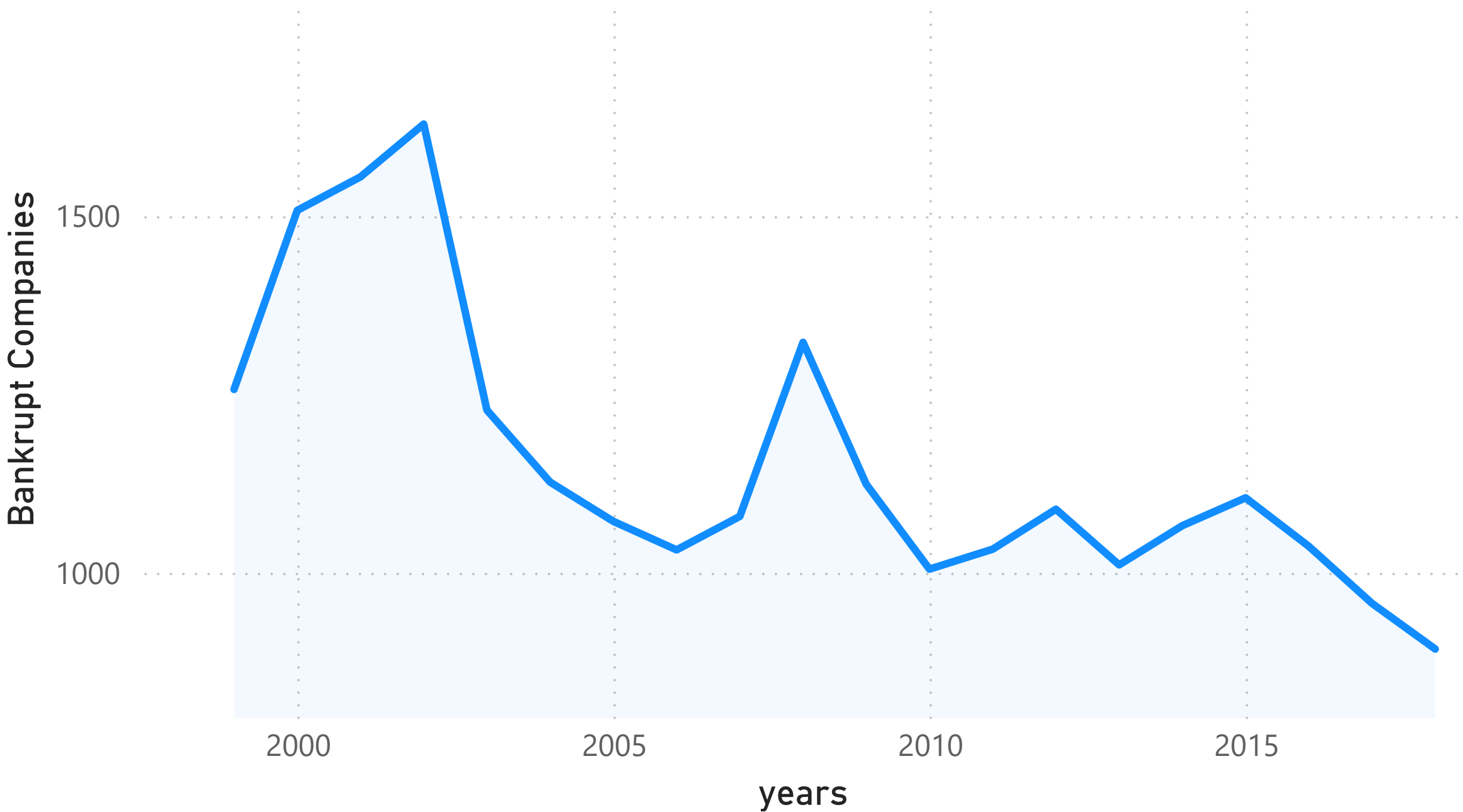


Avg Profitability

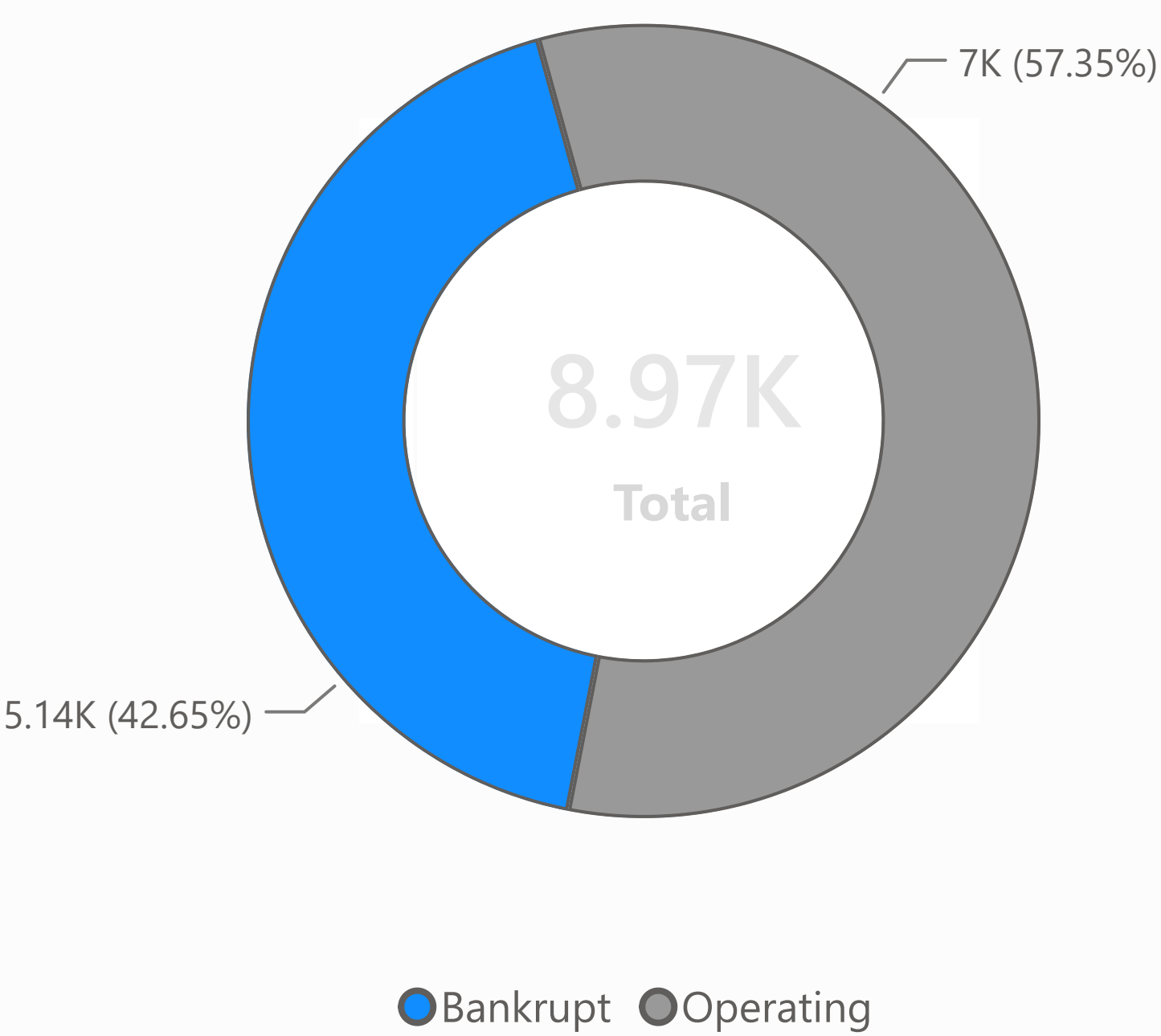
-15.64

Bankrupt Companies by years

Overall, bankruptcy over the years in USA is decreasing,



Bankrupt vs Operating Companies distribution

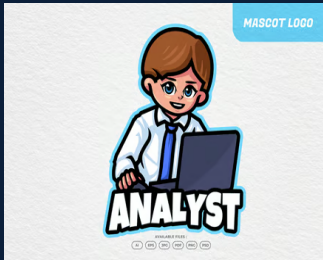


Executive Overview

Risk analysis

Key Influencer

Insight



Risk Analysis

Deep dive into bankruptcy risk factors

risk scoring

All

years

1999

2018



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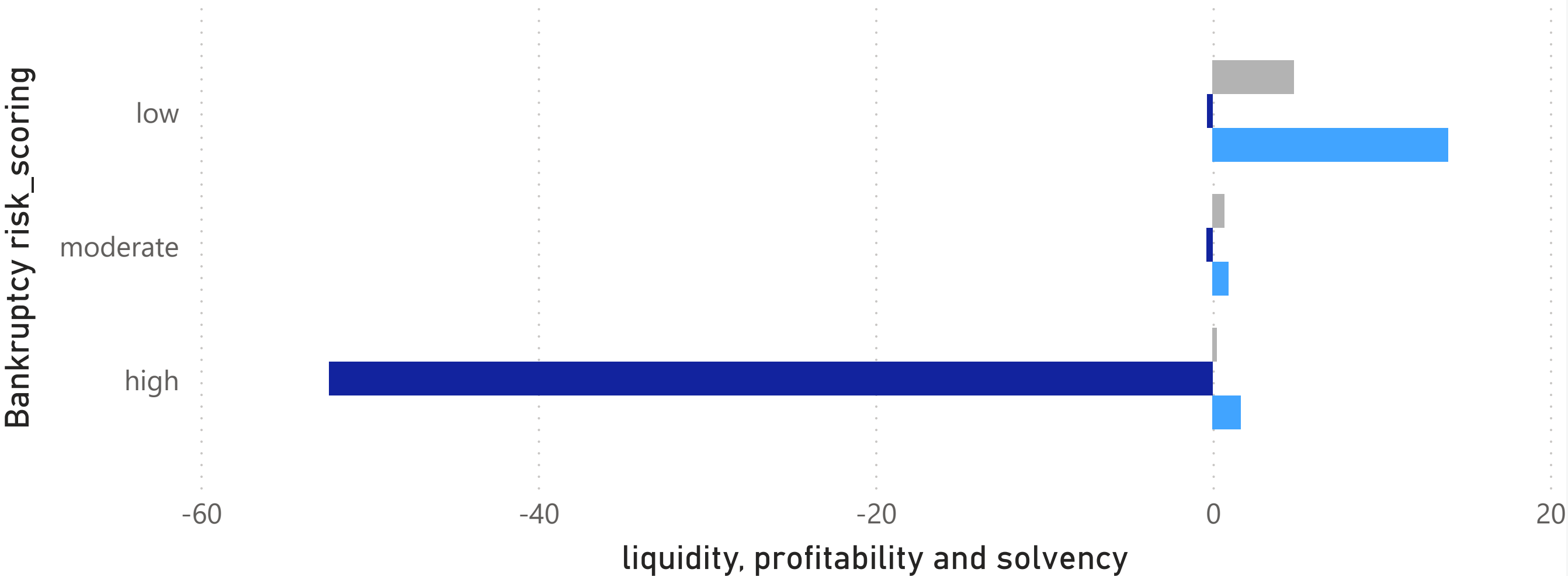
Confusion Matrix

False bankruptcy alarm detected

Risk	Status	Total
high	alive	20678
high	failed	2452
low	alive	43846
low	failed	2032
moderate	alive	8938
moderate	failed	736
Total		78682

liquidity, profitability and solvency by risk score

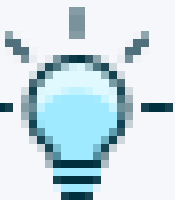
liquidity profitability solvency



Liquidity, profitability and solvency by risk score

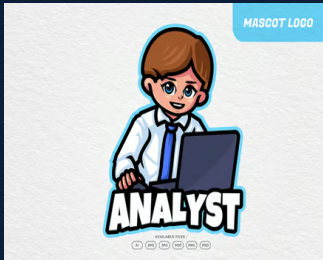
The major cause of bankruptcy is illiquidity, not actually loss making.

Risk_scoring	Average liquidity	Average profitability	Average solvency
low	4.84	-0.33	13.98
moderate	0.72	-0.35	0.95
high	0.27	-52.40	1.68
Total	2.99	-15.64	8.76



Deep Analysis indicate that liquidity is a stronger predictor of bankruptcy than profitability.

High-risk companies maintained only \$0.27 in liquidity for every \$1 liability.



Key Influencers

Drivers of bankruptcy

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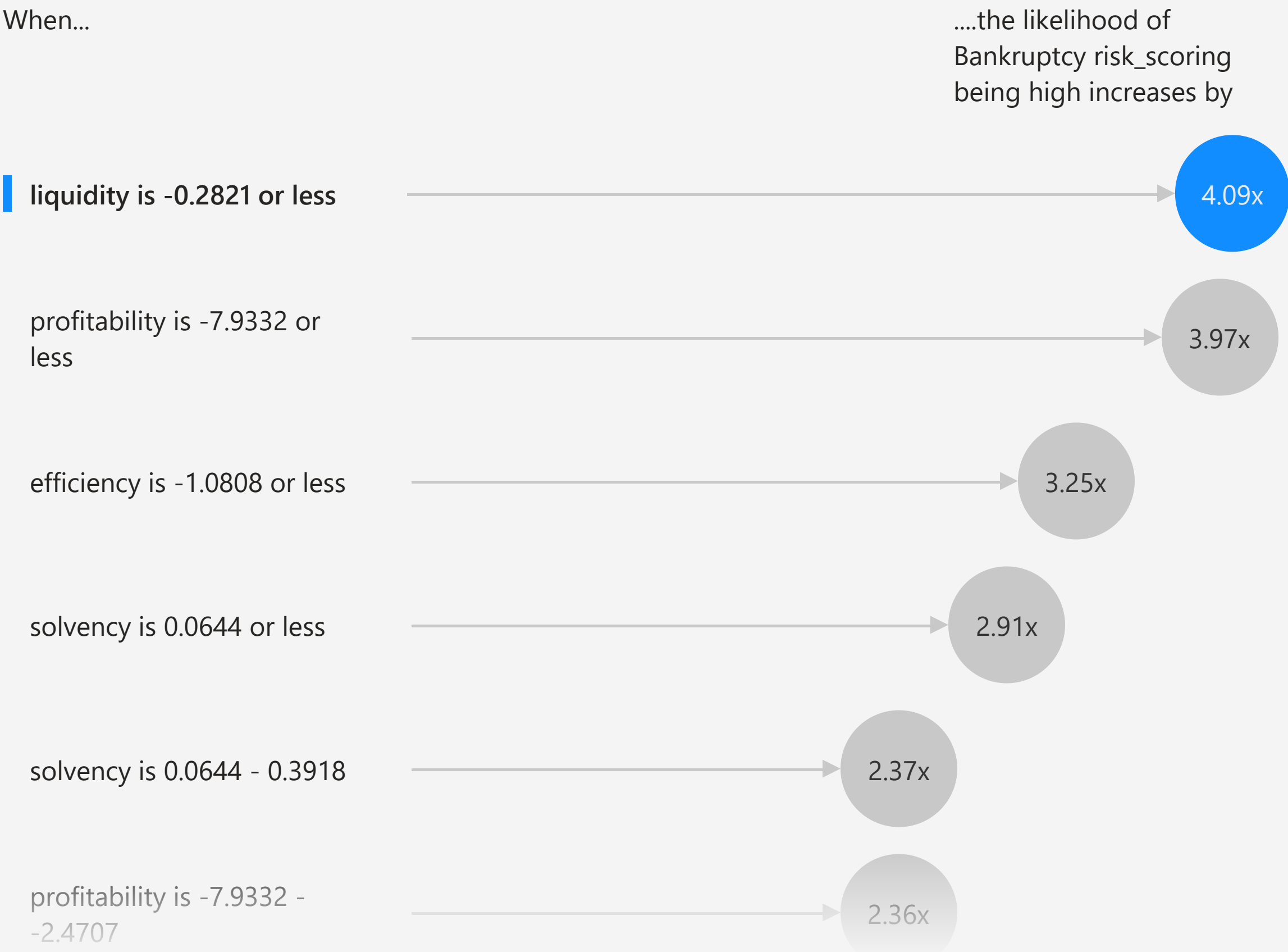
Key influencers Top segments



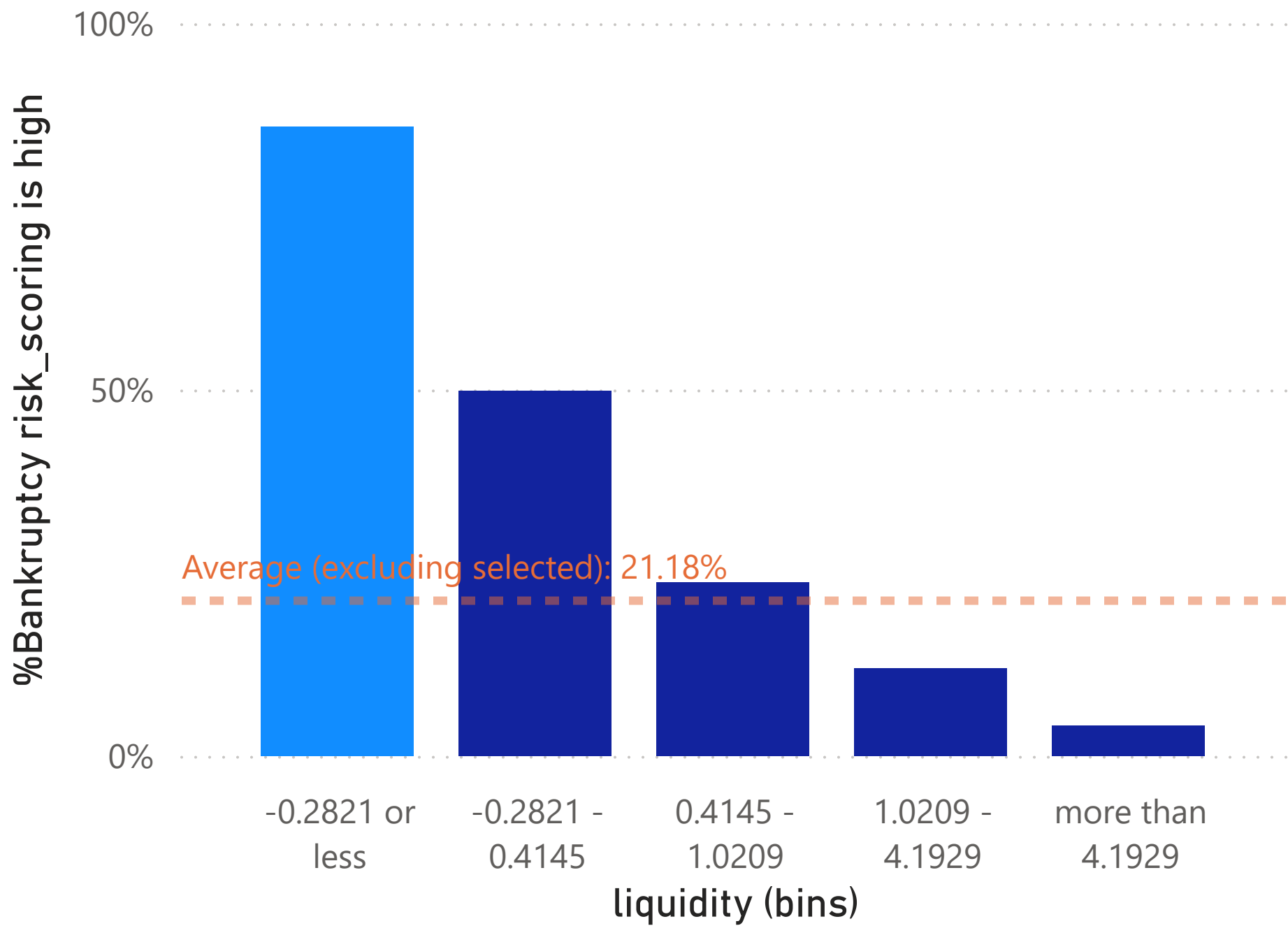
What influences Bankruptcy risk_scoring to be

high

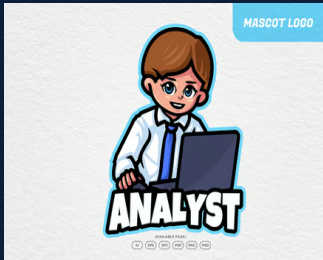
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← Bankruptcy risk_scoring is more likely to be high when liquidity is -0.2821 or less than otherwise (on average).



☐ Only show values that are influencers



Insight & Recommendations

Key findings and strategic actions

Executive
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Risk
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Key Insights

- 57.27% of companies in the dataset went bankrupt.
- Illiquidity is the strongest indicator of bankruptcy risk.
- High risk companies show negative profitability and poor solvency
- bankrupt companies has higher debt and low working capital
- Early Identification of bankrupt companies can help to prevent financial distress

Strategic Recommendations

- **Monitor Liquidity Closely:** Track current ratio and working capital regularly as liquidity is the strongest predictor.
- **Early Risk Detection:** Focus on companies with declining liquidity and negative profitability for early intervention.
- **Improve Solvency Position:** Reduce debt level and strengthen equity base to improve long-term solvency.
- **Enhance Profitability:** Improve operational efficiency and margins to reduce likelihood of financial distress.
- **Prioritize High Risk Companies:** Allocate resources to high-risk companies for turn around or wind up decision.